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importantly, deep pockets. Indian IDHs are yet to get there. However, we will see a lot of action in this area in the near-to mid-term future," he shares.

"Owning and operating one's own brand also calls for competencies that are different from the core competency of IDHs (to think disruptively and offer innovative solutions). For example, it requires one to be excellent in operations, sales, marketing, distribution, logistics and many more areas that don't fall under core competencies of design houses," adds Nallan.

"Independent design houses have people who generally have technical expertise in offering a solution to a product development company that wishes to place a product in the market. Placing a product in the market is altogether a different ballgame as compared to offering a solution. The financial gain is involved in taking the risk to place the product in the market, which generally an IDH may not prefer to take. However, there are exceptions. Some IDHs transition by taking such a risk after a proper market study with the help of product consultants. Also, brand building takes quite a lot of time, which is also a hurdle for an IDH to transition," explains Shankar.

A lot of IDHs have their products targeted as business-to-business products. But it is not good to enter into products targeted at end users.

Niruthambath cites two main reasons for this:

1. By doing that IDHs are competing with their own customers.
2. Design and development is only 50 per cent product. One needs a lot of other aspects like marketing and branding to sell it. With limited resources, it is difficult for Indian IDHs.

However, Shenoy feels that moving up from value growth, product development is a logical step.

"We have seen some policy changes, be it for hardware manufacturing or 30-40 per cent localisation of avionics coming from India, which promote this. At RBEL, we have a target for non-linear growth that includes product development. We have some examples like ECU-Prod tool and AUTOSAR solutions; various test equipment are already

out in the market and you will see many more in the future," he informs.

Way forward

"It is very important for the IDHs to understand their core strength and address their market appropriately. This might require them to stay ahead of the curve in terms of technical know-how and, more importantly, look at the right revenue models for different customer segments being addressed," sums up Panapakam. ●

The author is a freelance editor

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